



Finance Case Research Club
Team Cyprus



Divestiture of Orchestra PE's stake in KFC

Sep 25, 2025

Fall 2025
Kyungwon Baik

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I. Industry Overview

1. Quick Service Restaurant Value Chain
2. Competitive Landscape

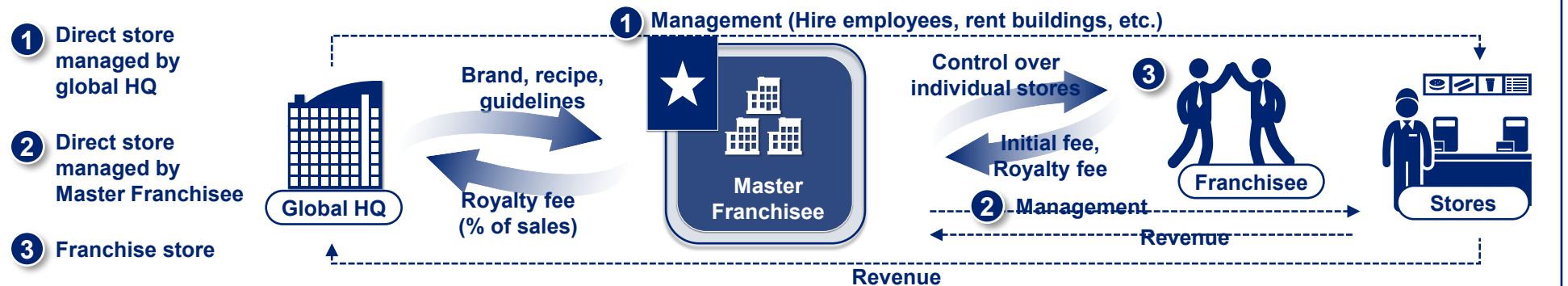
Quick Service Restaurant Value Chain

Quick Service Restaurants (“QSR”) prepare meals for customers either for dine-in or delivery, and their global expansion is typically pursued through master franchise agreements

Global QSR supply chain and store operating model



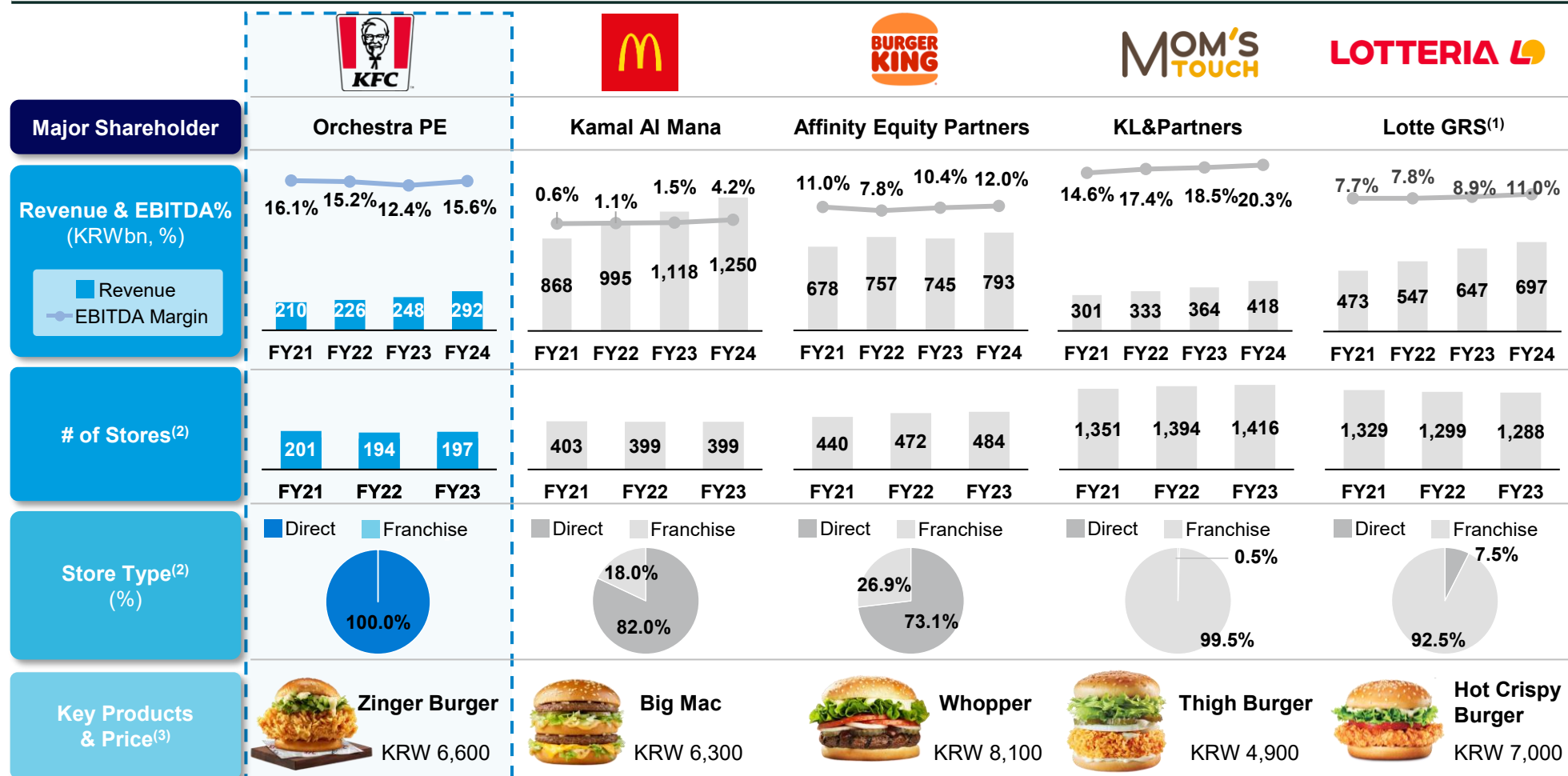
Operating models for store expansion



Competitive Landscape

Among Korea's top five QSR players, KFC is positioned in the mid-price segment but operates the fewest stores, as its company-owned model has historically limited network expansion

Landscape of domestic QSR competitors



Source: DART, Korea Fair Trade Commission, Company Filings, Market Intelligence

Notes: (1) Engages in diverse businesses, with Lotteria accounting for ~70% of sales; (2) Data available only up to 2023; (3) As of Sep 23rd 2025

II. Company Overview

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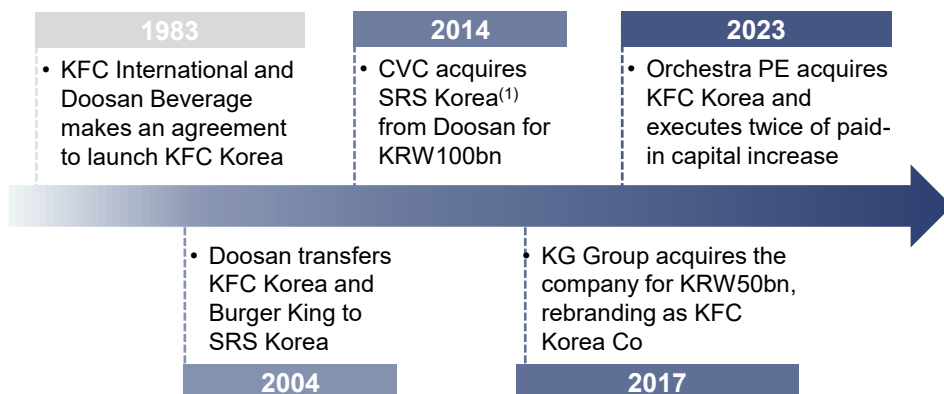
Company Snapshot

KFC Korea launched in 1983 through an agreement between KFC International and Doosan Beverage, and today operates as a leading QSR chain offering burger, chicken, and chicken rice

Company profile

- Launched in 1983, the company operates as the **local franchisee of the global QSR brand** Kentucky Fried Chicken, enjoying strong brand recognition and customer loyalty in Korea's competitive QSR market
- The company was previously operated under Doosan Group and KG Group, and now **owned 100% by Orchestra Private Equity**
- Operated a peak of 237 stores in 2001, but **lost its ground** afterwards as the company's **direct-store-only policy limited its expansion**, while its competitors such as Mom's Touch aggressively expanded their stores
- Regained momentum under KG Group through active promotions and delivery service expansion, and **revenue has accelerated under Orchestra PE's ownership**
- Introduced franchising alongside its company-owned model, officially launching **the first franchise in April 2024**

Key Milestones



Company History

(KRWbn)	FY20	FY21	FY22	FY23	FY24
Revenue	197.4	209.9	226.1	248.3	292.3
Gross Profit	148.8	157.9	169.2	179.4	213.4
<i>Margin (%)</i>	<i>75.4%</i>	<i>75.2%</i>	<i>74.8%</i>	<i>72.3%</i>	<i>73.0%</i>
EBITDA	30.1	33.7	34.5	30.7	45.5
<i>Margin (%)</i>	<i>15.2%</i>	<i>16.1%</i>	<i>15.2%</i>	<i>12.4%</i>	<i>15.6%</i>
EBIT	0.8	4.6	6.1	2.9	16.4
<i>Margin (%)</i>	<i>0.4%</i>	<i>2.2%</i>	<i>2.7%</i>	<i>1.2%</i>	<i>5.6%</i>
Net Income	-2.9	0.6	3.5	-8.9	9.9
<i>Margin (%)</i>	<i>n.a.</i>	<i>0.3%</i>	<i>1.5%</i>	<i>-3.6%</i>	<i>3.4%</i>
Total Assets	150.5	154.6	153.0	155.4	170.9
Total Liabilities	151.1	152.3	148.5	152.0	159.3
Net Debt	99.9	95.4	80.8	95.2	93.9

Key Products



Chicken Burger Set

KRW 8,800



Chicken

KRW 25,700



Chicken Rice Set

KRW 7,900

Source: DART, Company Filings

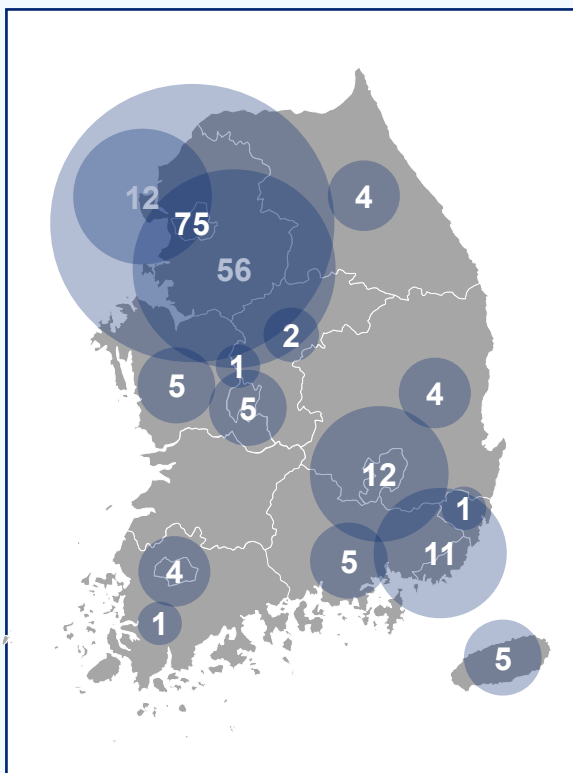
Note: (1) Burger King was separated from SRS and was sold to VIG in 2012

Business Overview

KFC Korea operates a total of 208 stores nationwide, and franchise fees are recognized as revenue for franchise stores, while sales revenue flows directly for company-owned stores

KFC stores overview

Geographic distribution of stores⁽¹⁾



Direct stores
(180)

Franchise
(28)

KFC's revenue and cost structure by store type

Direct Store	Sales margin	- Store-level revenue of direct stores flows directly to the master franchisee - Until April 2024, KFC operated direct stores entirely under a company-owned model
	Operational cost	Labor cost (Icon: People) CapEx / Rent expense (Icon: Building) Store operation costs are directly paid by the Master franchisee, often as fixed cost
Franchise	Initial franchise fee	1 Contract fee 2 Education fee 3 Interior fee 4 Deposit KRW 576.3mn⁽²⁾ - Received when franchise stores are initially launched
	Brand royalty fee	6.6% of franchise store sales - Received as brand royalty fee for continuous brand use
	Brand royalty fee to HQ	6.0% of total revenue paid to global HQ

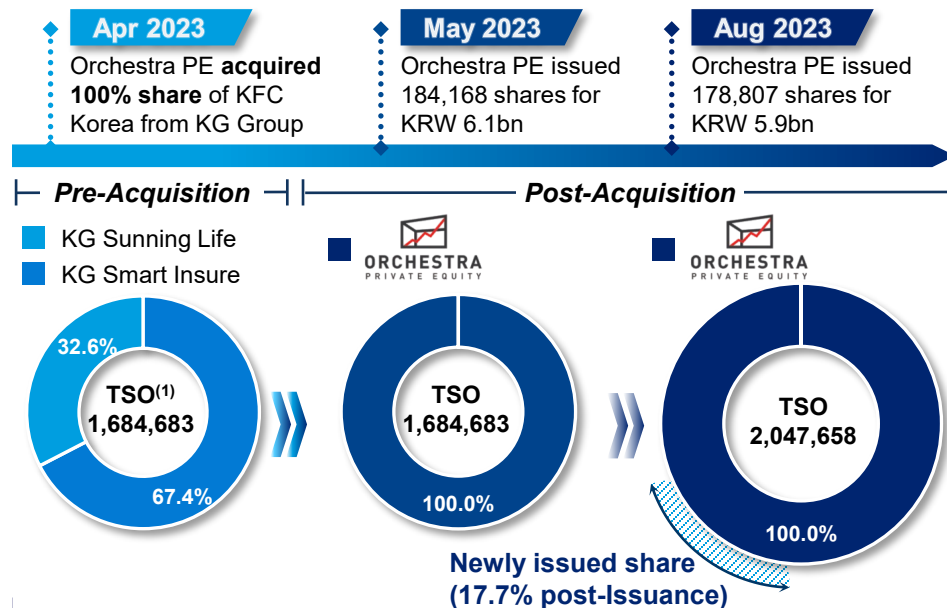
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Orchestra PE's Acquisition in 2023

Orchestra PE acquired KFC Korea from subsidiaries of KG Group in 2023 for KRW 55.8bn and injected additional capital, bringing total investment to KRW 67.8bn

Deal Structure



Buy-side rationale

1

Conflict with headquarters

- Yum! Brands enforced **strict oversight** which **limited flexibility**, **local adaptation**, while also creating **conflict on royalty structure**

2

Intensified Franchise Competition

- Achieved sales growth through promotions and customer acquisition, but **struggled to keep pace with competitors' continuous expansion**

1

Acquisition

Share acquisition	100.0%	
Acquisition price	KRW 55.8bn	
Multiple ⁽²⁾	Implied equity value	KRW 55.8bn
	Implied enterprise value	KRW 136.6bn
	EV/EBITDA	4.0x
	EV/EBITDA FWD ⁽³⁾	4.5x

2

Paid-in capital increase

New shares issued	362,975
Par value	KRW 5,000

3

Final structure

Total Invested Capital	KRW 67.8bn
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Sell-side rationale

1

Alignment with Yum! Brands

- Received investment from Yum! Brands, with room for further negotiations and **potential support from the franchisor**

2

Experience in F&B franchises

- Possesses **value-up experience with F&B portfolios** such as Banolim Pizza, Ogu Rice Pizza, and Jeongseong Food

Source: DART, Market Intelligence

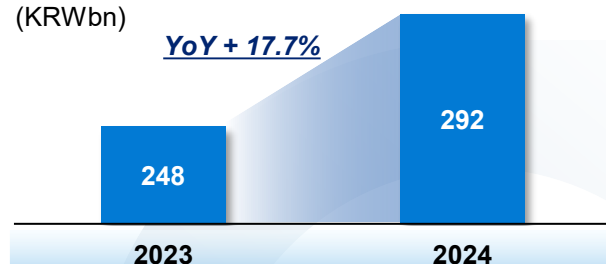
Notes: (1) Total shares outstanding; (2) Financials as of FY22; (3) EBITDA as of FY23

Value-Up Initiatives by Orchestra PE

■ Imported components

Orchestra PE boosted KFC Korea with 17.7% revenue growth and 3.2%p margin gain in 2024, driven by revenue growth and operational efficiency, along with franchising approval from Yum! brands

■ KFC Korea's revenue (KRWbn)



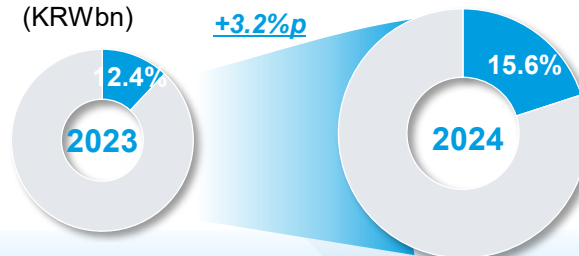
Revenue upside drivers

Revenue growth



Operational efficiency

■ KFC Korea's EBITDA margin (KRWbn)



Cost reduction drivers



New menu & Price increase

- Launched new menus such as 'Chicken rice'
- Increased price twice in June 2024 and April 2025



Accessibility enhancement

- Opened 40+ new stores
- Strengthened the mobile app to capture delivery demand, increasing MAU



Cost optimization

- Simplified ingredients to reduce COGS
- Closed underperforming stores to streamline operation



Cost-efficient stores

- Opened drive-thru and small-format stores, reducing rent and labor cost while expanding reach

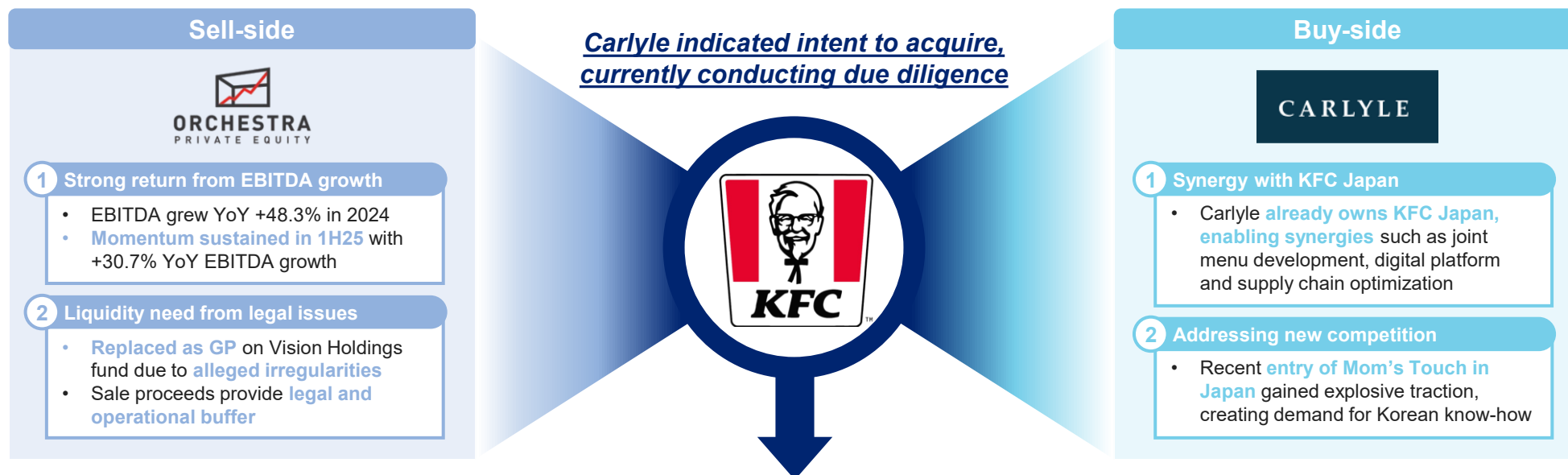
Entered franchising business

- From the time of acquisition, secured approval from Yum! Brands, both franchisor and LP, to operate franchising alongside company-owned stores
 - Launched franchising to enable rapid expansion, secure supply revenues, and shift fixed costs to franchisees.

Planned Exit of Orchestra PE

Orchestra PE seeks to exit KFC Korea after strong EBITDA growth and liquidity needs, while Carlyle pursue synergies with KFC Japan and defense against new entrants

Overview of Orchestra PE's ongoing discussions to divest its 100.0% stake in KFC Korea



Expected deal term

Divested Stake	100%	
Divestiture price	KRW 300bn	
Expected multiple⁽²⁾	Implied equity value	KRW 300bn
	Implied enterprise value	KRW 393bn
	EV/EBITDA	8.7x
IRR	75.1%	
MOIC	4.4x	

Exit scenarios and projected IRR

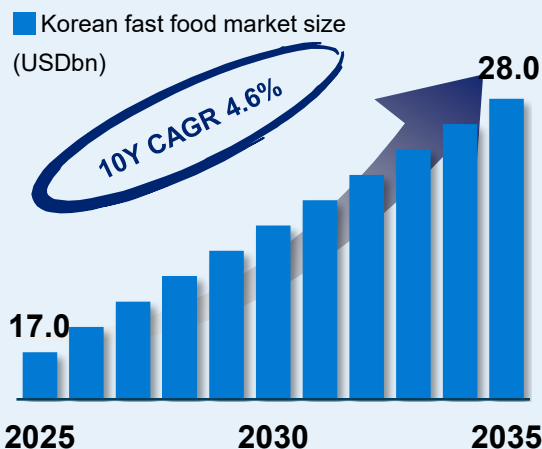
IRR		Deal Execution Date				
		Oct 25	Dec 25	Feb 26	Apr 26	Jun 26
EV/EBITDA Multiple	4.3x	14.6%	13.6%	12.8%	12.0%	11.3%
	5.7x	42.4%	39.3%	36.6%	34.3%	32.2%
	7.3x	63.8%	58.8%	54.7%	50.9%	47.7%
	8.7x	81.8%	75.1%	69.5%	64.6%	60.3%
	10.3x	97.4%	89.1%	82.3%	76.3%	71.1%

Investment Highlight

KFC Korea operates in a growing industry, with margins well above peers due to chicken-focused menus and simple supply chains, and is set for rapid expansion through franchising

1 Steady growth of the market

Korean fast food market expectation

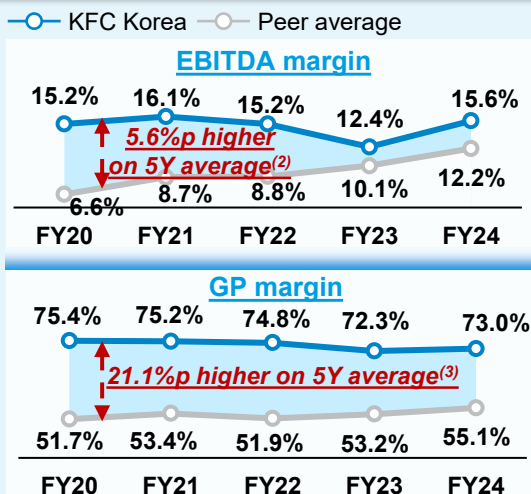


Growth drivers

- Spread of late-night dining culture**
 - Increased demand for convenient meals available beyond regular hours
- Rising single-person households**
 - Strong preference for affordable, quick-service dining formats
- Inflation-driven preference**
 - Price-sensitive consumers are shifting toward low-cost fast food.

2 Outperforming margin

EBITDA margin and GP margin⁽¹⁾



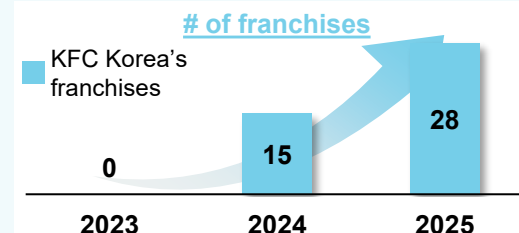
✓ High GPM leads to high profitability

Key rationale

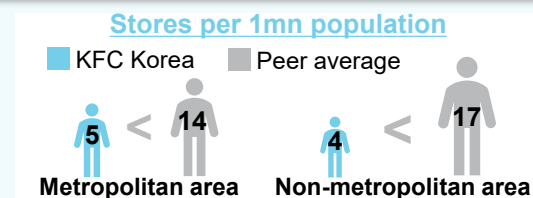
- ✓ **Reliance on chicken** as the only primary raw material **reduces cost burden**
- ✓ **Fewer ingredients** (no onions, eggs, tomatoes, etc.) **streamline supply chain**
- ✓ Global name value enables **favorable procurement contracts**

3 Rapid expansion expected

Rapidly increasing # of franchises



Ample room for further expansion



Advantages of franchise expansion

- Fast and aggressive expansion**
- Sales growth without additional rent and labor costs, improving margin**
- Additional revenue from supply sales to franchisees**

Source: DART, Korea Fair Trade Commission, Market Intelligence

Notes: (1) Lotteria excluded due to its diversified business model; (2) 5.6% if Lotteria is included; (3) 21.1% if Lotteria is included